

AGRI BITES

Dairy prices
mooving higher.

8 October 2026



CONTENTS AND AUTHOR

Summary	3
Update on El Niño	4
Input costs	5
Dairy	6
Beef	7
Sheep meat	8
Horticulture	9
Forestry	10
Forecasts	11



Paul Clark, Industry Economist
+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

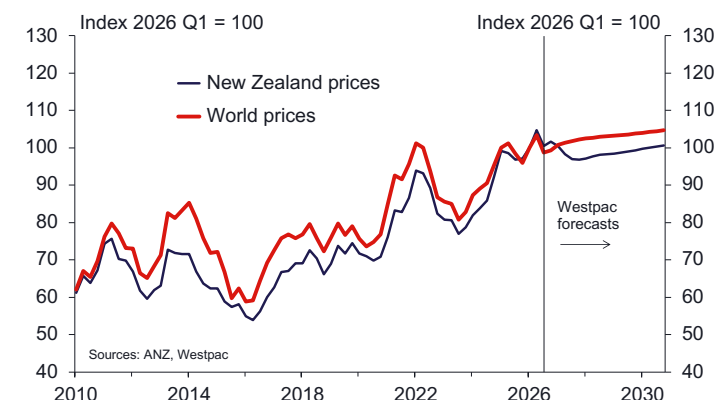


SUMMARY

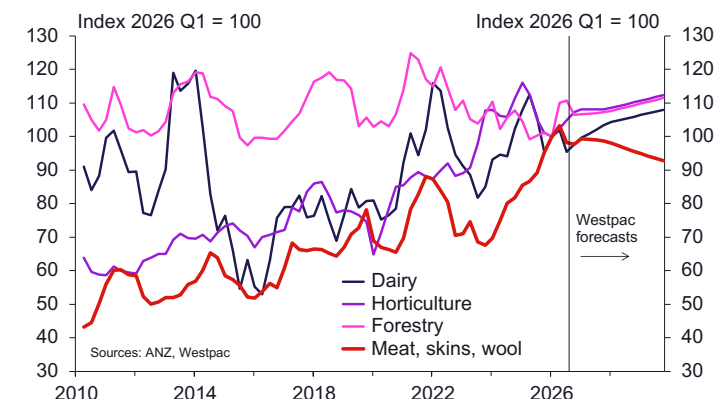
Despite risk, agricultural export prices to remain elevated.

- Ongoing Middle East tensions are increasing volatility and raising energy, input and shipping costs, while broadly supporting prices for agricultural products. Impacts vary depending on idiosyncratic supply and demand conditions.
- Risks are exacerbated by the impact of a now confirmed super-sized El Niño, which could slice off up to 1ppt of New Zealand's GDP should on-farm production of both milk and meat contract significantly.
- We have revised up our farmgate milk price forecast for this season by 25c to \$9.75/kg, with milk powder prices holding up better than we expected. El Niño presents a clear upside risk to this, as it does not appear to have been reflected in GDT auction prices to date.
- Meanwhile average New Zealand beef export prices should remain elevated over the coming year, as lean trimming prices reverse recent declines. Sheepmeat prices are set to ease on rising Australian supply, but remain at elevated levels.
- Kiwifruit and apple export prices are expected to remain elevated, supported by strong demand for premium varieties, although increasing supply is likely to keep prices largely flat rather than drive further gains.
- Export prices for New Zealand logs are set to remain broadly stable to slightly firmer, supported by lower log supply and balanced Chinese inventories.

Commodity prices – World and NZ dollar denominated



Commodity prices by category

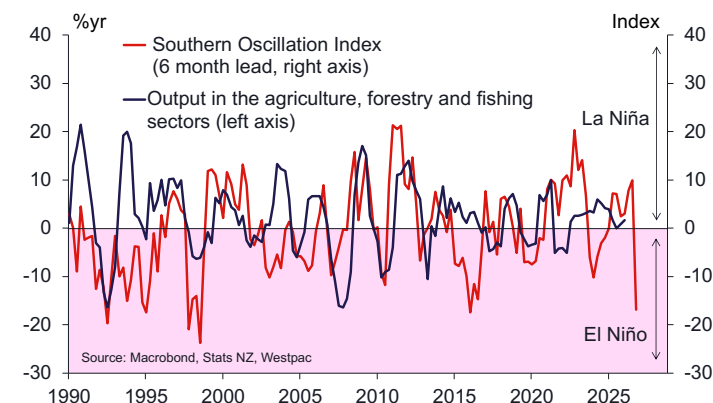


UPDATE ON EL NIÑO

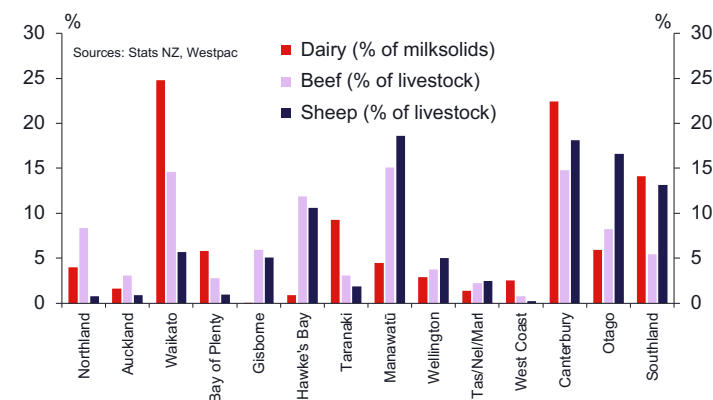
Farming is well placed to navigate impacts of a strong El Niño.

- Scientists have now confirmed that the current El Niño event will be the strongest on record. Temperatures in the Pacific Ocean are now 3.05C above the average, exceeding the record set in 2015.
- A supersized El Niño increases the probability of drier weather in eastern regions of New Zealand in coming months, with wetter conditions likelier in the west and southern areas of the country.
- The potential impact on GDP could be significant. Our previous research has shown a severe drought could slice off as much as 1ppt from economic growth.
- Much of that is will reflect lower agriculture production, particularly in dairy, sheep and beef farms. Increased on-farm costs and processing disruptions are also likely.
- A 1% loss in GDP is likely an upper end estimate of the El Niño impact. A key consideration is soil moisture levels are currently high, implying some resilience to future drier conditions.
- Farming practices have become more resilient to prolonged dry periods. Irrigation is more widely used than in past dry periods and snowmelt levels appear robust, which should be of particular benefit to Canterbury farms.

Southern Oscillation Index vs GDP: Agri, forestry, fishing



Agricultural activity by region

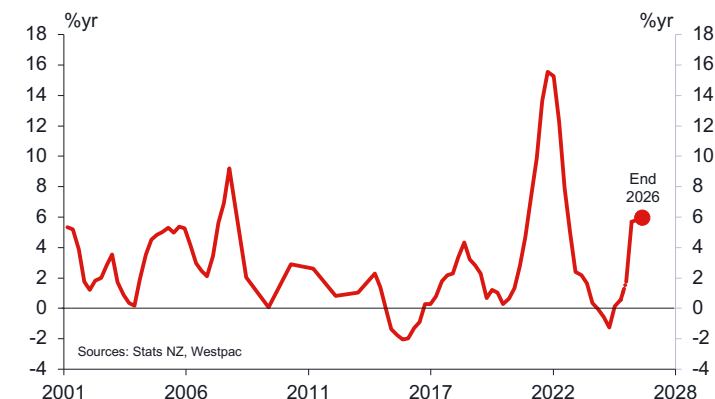


INPUT COSTS

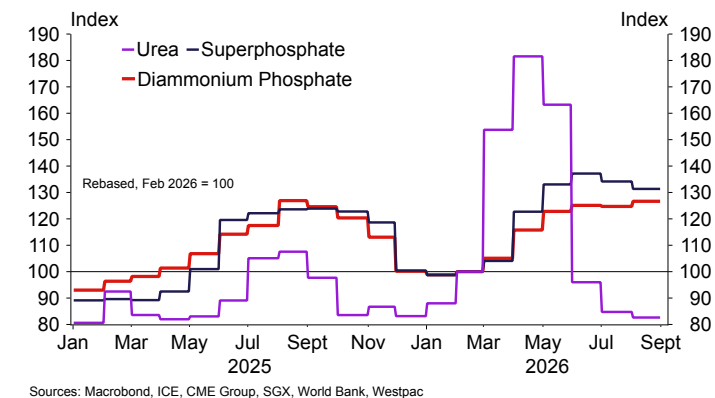
Conflict-related disruptions could push input costs higher than expected.

- Farm input costs are on the rise reflecting two key drivers: fuel and fertiliser costs.
- Diesel and petrol prices have increased by about 50% compared to the same period in 2025. While average prices fell in the September quarter, they closed the quarter at an elevated level as tensions between the US and Iran increased and broadened to encompass Saudi Arabia and the Yemeni Houthis.
- Fertiliser prices are also significantly higher. While the fertiliser market has stabilised after a period of extreme volatility earlier this year, prices remain highly sensitive to developments in the Middle East.
- Nitrogen (urea) prices have fallen substantially from a mid-year spike, with an pick up in Chinese exports now boosting supply. These prices though remain vulnerable to supply disruptions.
- By contrast, phosphate and other sulphur-based fertiliser prices are tracking higher and remain at elevated levels, as supply constraints, trade restrictions and disruptions to shipping offset the impact of softening demand in some regions of the world.

Farm input expenses



Crude and derivative product prices

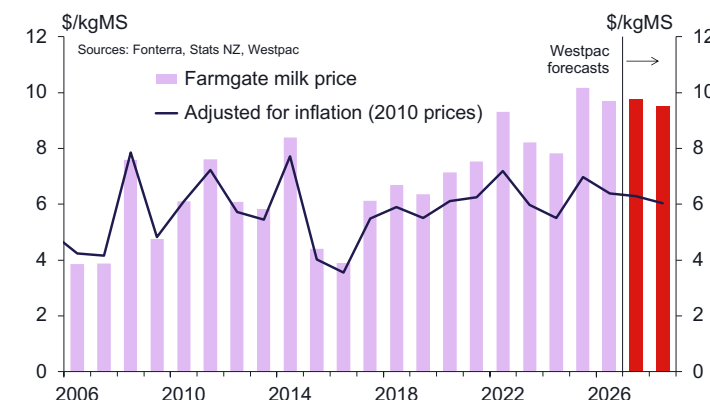


DAIRY

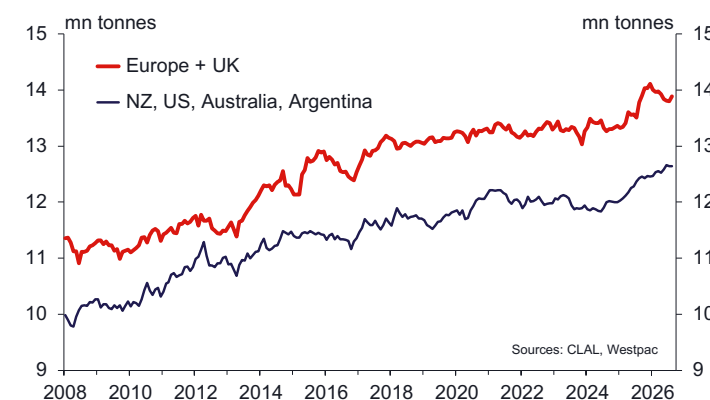
Farmgate milk price forecast revised up on strong protein demand.

- We have revised up our farmgate milk price forecast for this season by 25c to \$9.75/kg. This is above Fonterra's forecast midpoint of \$9.50/kg (range of \$8.50-10.50), but lower than futures market pricing of just over \$10/kg.
- We have also opened our forecast for the 2027/28 season at \$9.50/kg. Note that there is a wide margin of uncertainty around the forecast at this stage, and we will review as the next season approaches.
- Dairy prices at auction have generally held up better than our expectations, although the performance has varied across products. Trends in global demand are shifting away from fats and towards proteins, which has boosted demand and prices for skim milk powder in particular.
- Our forecasts do not include an assumption about the impact of El Niño, which presents a clear upside risk to prices and a downside risk to volumes. While the futures market is pricing a strong lift in milk powder prices over the New Zealand summer, there has been no apparent urgency to buy at the GDT auction. Fonterra is forecasting a 2% lift in milk volumes over the rest of this season, on top of what was already a strong increase last season.
- Global milk production also remains ample, although it has slowed in Europe in recent months. El Niño is less likely to affect conditions among the major producers in the Northern Hemisphere.

Farmgate milk price



Milk production by top exporting regions

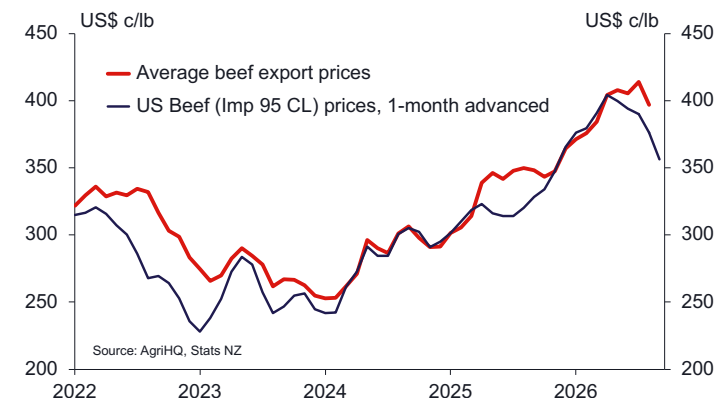


BEEF

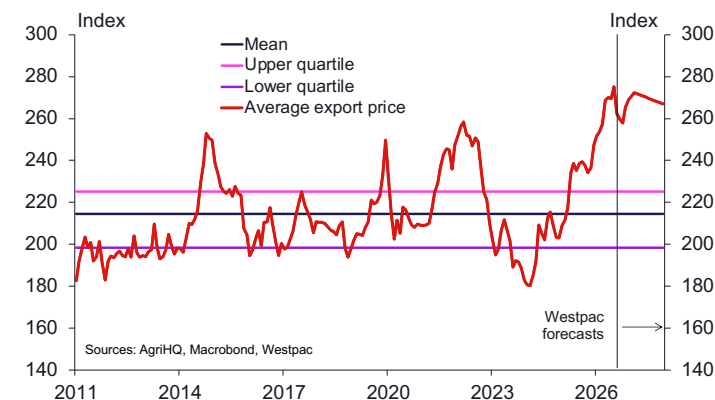
Export beef prices to remain elevated over the next year.

- Beef export prices remain well supported but have softened in recent months. The weakness has been concentrated in lean beef trimming prices, which have eased since April as high US prices attracted additional imports, particularly from South America, while tariff-free quotas temporarily boosted product availability.
- In contrast, premium beef prices have remained firm, supported by tight global supplies of high-quality beef, constrained US cattle numbers, and resilient demand in higher-end retail and foodservice channels.
- We expect that lean trimming prices will reverse recent declines in coming months as temporary increases in supply begin to fade and underlying shortages, including the historically small US beef herd, re-emerge.
- In 2027, lean trimming prices should remain elevated but broadly flat as strong US demand and a small US cattle herd are largely offset by rising global production. From 2028 onwards, expanding global beef production gradually eases market conditions, putting pressure on prices.
- Meanwhile, favourable supply/demand fundamentals to support premium beef prices in 2027, with expanding global production to weigh on prices from 2028.
- Overall, beef export prices are likely to remain high, although both nominal and real prices are expected to moderate over the medium term.

Average monthly beef export prices - nominal



Average monthly beef export prices - real

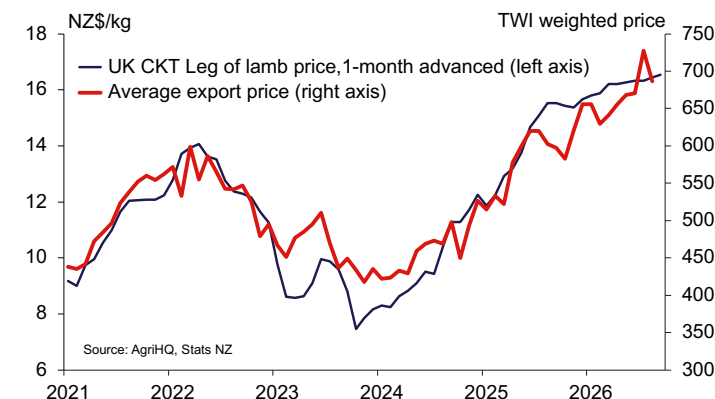


SHEEP MEAT

Lamb export prices to remain firm, but off recent highs.

- NZ sheepmeat export prices remain near record highs, supported by constrained global supply and resilient demand from premium markets in Europe, the UK and North America. Export values rose strongly through 2025/26 despite only modest growth in export volumes, highlighting the strength of underlying prices.
- Global supply remains tight due to declining sheep flocks and lower slaughter numbers in New Zealand, the UK and parts of Europe. However, rising Australian production and exports are expected to gradually lift global supply and increase competition in key export markets, limiting further price gains.
- Meanwhile, stronger demand from the UK, EU and North America has improved export returns and reduced New Zealand's reliance on China, where economic weakness has made consumers more price sensitive and encouraged a shift towards cheaper proteins and cuts.
- The outlook remains positive but more balanced. Tight supply should keep prices above historical averages over the coming year, although rising Australian exports, softer demand growth, affordability pressures, signs of buyer resistance and (eventually) a stronger NZ dollar could see prices ease modestly from current elevated levels into 2027.

Average monthly lamb export prices - nominal



Average monthly lamb export prices - real



HORTICULTURE

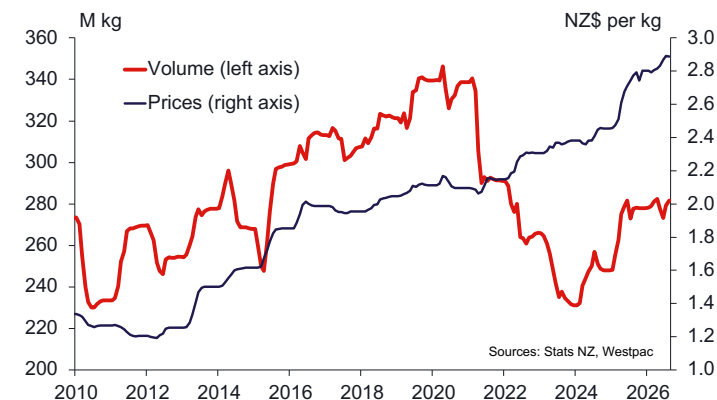
Capacity is catching up with demand, limiting further price gains.

- NZ kiwifruit export prices have pushed to record highs, supported by strong demand in North America, Europe, Japan and Korea, as well as continued consumer preference for premium varieties such as SunGold.
- Export prices continue to edge higher even as a record crop and larger fruit volumes are helping to reduce market tightness. Zespri notes increased competition from summer fruit, pricing pressure in parts of Asia and a larger-than-expected crop.
- Kiwifruit export prices are set to remain high but mostly flat over the next year, as strong demand for premium varieties such as SunGold and RubyRed is increasingly offset by rising production and price pressures in Asia.
- Apple export prices are also at record highs, supported by strong demand in Asia, North America and India, alongside a continued shift towards higher-value cultivars and premium varieties.
- These factors should keep export prices elevated over the next 12 months, supporting grower revenues and profitability.
- However, further gains could be limited. Rising New Zealand production, recovering supplies from key growing regions and larger global apple crops are expected to increase supply availability, reducing market tightness and keeping prices broadly stable.

Kiwifruit – average export prices and volumes



Apples – average export prices and volumes

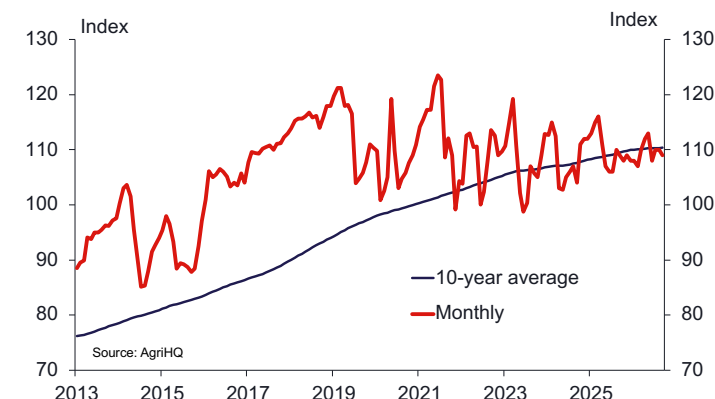


FORESTRY

Log prices look moribund.

- China remains the dominant market for New Zealand logs, with prices highly sensitive to construction activity, sawmill demand and daily log offtake. In that regard, weak housing and furniture demand continue to weigh on prices.
- Chinese softwood log inventories are estimated at around 2.2 to 2.5m m³, equivalent to roughly 40 to 45 days of inventory cover at current offtake rates. This suggests inventory levels are broadly balanced and exerting little pressure on log prices.
- At the same time, reduced New Zealand log supply, including lower harvesting volumes and the wind-down of salvage logging, is providing some support to prices. Freight costs also remain an important driver of at-wharf-gate returns, with currently high shipping costs crimping returns to forest owners.
- NZ log export prices are expected to remain broadly stable to modestly firmer over the next 12 months, supported by lower domestic supply, balanced Chinese inventory levels and tentative signs of stabilisation in log demand.
- However, any recovery is likely to be gradual, with weakness in China's property sector, uncertainty around shipping costs and softer global growth continuing to constrain demand and cap upside potential.

Average log export prices



World forestry prices



FORECASTS

New Zealand commodity prices (end of period)

	Latest	Dec-26	Mar-27	Jun-27	Sep-27	Dec-27	Mar-28	Jun-28	Sep-28	Dec-28
NZ commodities index	390	392	397	400	401	403	404	405	406	406
Dairy price index	319	323	329	333	337	342	345	347	348	350
Whole milk powder USD/t	3,605	3,650	3,730	3,780	3,830	3,880	3,920	3,960	4,000	4,040
Skim milk powder USD/t	3,847	3,720	3,600	3,600	3,630	3,680	3,720	3,760	3,800	3,830
Lamb price index	686	681	678	674	670	666	660	652	644	636
Beef price index	397	402	416	417	417	417	415	413	410	408
Forestry price index	168	159	160	160	160	161	161	162	163	164

New Zealand commodity prices (annual averages)

	Levels				% change			
	2025	2026f	2027f	2028f	2025	2026f	2027f	2028f
NZ commodities index	390	396	400	405	9.2	1.5	1.1	1.3
Dairy price index	348	327	336	347	9.7	-6.3	2.7	3.6
Whole milk powder USD/t	3902	3623	3804	3982	13.5	-7.1	5.0	4.7
Skim milk powder USD/t	2702	3387	3627	3778	0.7	25.3	7.1	4.2
Lamb price index	587	671	672	648	27.0	14.4	0.1	-3.6
Beef price index	337	424	416	411	19.1	25.6	-1.7	-1.2
Forestry price index	152	160	160	162	-4.9	5.5	0.1	1.4

Forecasts as at 7 October 2026.

Contact

Westpac Economics Team
westpac.co.nz/economics
economics@westpac.co.nz



Connect with us

Kelly Eckhold, Chief Economist
+64 9 348 9382 | +64 21 786 758
kelly.eckhold@westpac.co.nz

Satish Ranchhod, Senior Economist
+64 9 336 5668 | +64 21 710 852
satish.ranchhod@westpac.co.nz

Darren Gibbs, Senior Economist
+64 9 367 3368 | +64 21 794 292
darren.gibbs@westpac.co.nz

Michael Gordon, Senior Economist
+64 9 336 5670 | +64 21 749 506
michael.gordon@westpac.co.nz

Paul Clark, Industry Economist
+64 9 336 5656 | +64 21 713 704
paul.clark@westpac.co.nz

Past performance is not a reliable indicator of future performance. The forecasts given in this document are predictive in character. Whilst every effort has been taken to ensure that the assumptions on which the forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from these forecasts.

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know.

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the Australian [Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at

times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer.

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker,

underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access [Westpac's Financial Services Guide](#) here or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries

guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ("WCM"), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ("FINRA"). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of

this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and "professional clients" as defined by the rules of the Financial Conduct Authority and is not intended for "retail clients". Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area ("EEA"): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH ("WEG") under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority ('BaFin') and subject to its regulation. WEG's supervisory authorities are BaFin and the German Federal Bank ('Deutsche Bundesbank'). WEG is registered with the commercial register ('Handelsregister') of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an 'investment recommendation' and/or 'information recommending or suggesting an investment', both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) ("MAR"). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the **general disclosure** which can be found here. Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.



Westpac Banking Corporation.